

Product Pricing and Discount Policy

1. Pricing Review Thresholds

Any product with a standard cost margin below 25 percent requires a formal pricing review to assess profitability and consider price adjustments or cost reductions.

2. Discount Approval Limits

Discount offers up to 10 percent may be approved by store managers. Discounts exceeding 10 percent require regional manager authorization to ensure margin protection.

3. Maximum Discount per Transaction

The maximum total discount applied to a single transaction is capped at \$1,500. Requests exceeding this amount must be escalated for approval.

4. Product Status Compliance

Only products marked as active in the inventory system are eligible for promotions and discounts. Discontinued products cannot be sold or discounted.

5. Price Adjustment Frequency

Retail prices may only be updated once per quarter unless prompted by supply cost changes greater than 15 percent, requiring immediate review.

6. Seasonal Pricing Restrictions

Pricing adjustments during peak demand periods are restricted to ensure compliance with company pricing guidelines and avoid overpricing complaints.